WAVERLEY GATEWAY GUIDE

Connecting International Capital

BOSNIA AND HERZEGOVINA

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Sarajevo	Capital and seat of the state institutions, the Central Bank and most international organisations and banks	Financial services, ICT, business services, tourism
Banja Luka	Administrative and commercial centre of Republika Srpska, with its own investment and tax framework	Manufacturing, ICT, agri-food, energy
Mostar and Herzegovina	Southern region on the planned Southern Gas Interconnection route to Croatia, with strong solar and wind resources	Renewable energy, metals processing, tourism, agri-food
Tuzla	North-eastern industrial and energy centre, where a new gas pipeline and gas power plants are planned	Energy, chemicals, manufacturing
Zenica and the Corridor Vc axis	Central industrial belt along the Corridor Vc motorway linking the Sava valley, Sarajevo and the Adriatic	Metals, automotive components, logistics
Brčko District	Self-governing district on the Sava river bordering Croatia, with a 0% withholding tax on dividends	Logistics, food processing, light manufacturing
North-west (Bihać and Prijedor)	Border region close to Croatia and EU markets, with traditional wood and metal industries	Wood processing and furniture, metal industry, tourism

INVESTOR ENTRY ROUTES

- Foreign Investment Promotion Agency (FIPA), the state-level agency established in 1998, provides free and confidential advice on legislation, company set-up, site identification and project implementation
- The state law on foreign direct investment guarantees national treatment, free transfer of proceeds abroad and protection against expropriation, and lets investors keep the more favourable regime if laws change
- A 10% corporate income tax and 17% VAT, with personal income tax of 10% in the Federation and 8% in Republika Srpska
- A currency board pegging the convertible mark (KM) to the euro at 1.95583, administered by the Central Bank of Bosnia and Herzegovina
- Customs exemption for equipment imported as part of a foreign investor's share capital, and free zones listed in FIPA's location database

- Preferential trade access to the EU, CEFTA, EFTA and Turkey, giving duty-free access for most goods to the EU, the main investor and export market
- EU candidate status since December 2022, with a European Council decision in March 2024 to open accession negotiations and up to €976.6 million available from the EU Reform and Growth Facility against reforms

MARKET-ENTRY OBSERVATION

Bosnia and Herzegovina offers investors a low-tax, low-cost manufacturing and energy base on the EU's border, with a currency firmly pegged to the euro. GDP grew 2.4% year-on-year in the second quarter of 2026, up from 2.2% in the first quarter, led by information and communication and consumption. Foreign direct investment inflows were KM 1.41 billion (about €721 million) in 2025, led by investors from Germany, Serbia and Austria, and the EU accounts for over 60% of the cumulative FDI stock. The 10% corporate tax, one of the lowest in Europe, a currency board that removes exchange-rate risk against the euro and public debt estimated at around 35–40% of GDP give a stable foundation, and S&P rates the country B+ with a stable outlook.

Bosnia and Herzegovina's main structural challenge is a complex, decentralised constitutional system that slows decision-making and EU reforms. The first EU intergovernmental conference has not been held since negotiations were approved in March 2024, and the Commission has warned that €373.9 million of Growth Plan funds could be lost if reform steps are not completed by 31 December 2026. Inflation rose to 6.0% in September 2026, driven by transport and energy costs. The 4 October 2026 general election offers a fresh start: the Commission expects new authorities to restore reform momentum, and the April 2026 agreement with Croatia on the Southern Gas Interconnection, worth up to $1.5 billion, shows that strategic projects can advance. Investors who structure carefully can capture opportunities in energy, manufacturing, ICT and infrastructure.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Complex governance and slow EU reforms	Powers are divided between the state, two entities and Brčko District, and key judicial laws for the EU path remain pending	Map entity-level rules early, work with FIPA and entity agencies, and track government formation after the October 2026 election
Risk to EU Growth Plan funds	The Commission warns that €373.9 million could be lost if reform steps are not completed by 31 December 2026	Up to €976.6 million remains available if reforms proceed; align projects with EU-funded priorities
Political tensions in Republika Srpska	Former RS president Milorad Dodik is barred from office after a conviction, but his SNSD party retains a strong mandate; US sanctions on him were lifted in October 2025	Screen counterparts against US, UK and EU sanctions lists and use international arbitration clauses
Inflation and energy dependence	Inflation reached 6.0% in September 2026, and nearly all gas comes from Russia via the TurkStream route	The Southern Gas Interconnection with Croatia will add LNG access; build energy-price scenarios into business plans
Labour availability	Emigration has reduced the pool of skilled workers, and unemployment was 11.7% in late 2024	Partner with technical schools and universities, and invest in training and retention
Administrative and judicial efficiency	Permits and court proceedings can be slow and vary by entity and canton	Use experienced local counsel, choose established industrial zones and include arbitration clauses
Credit rating	Sovereign ratings of B+ (S&P) and B3 (Moody's) limit access to cheap finance	Use EBRD, EIB, World Bank and EU blending finance, and partner with foreign-owned local banks

INVESTOR RISK NOTE

Bosnia and Herzegovina's risk profile combines strong monetary stability, a low-tax regime and moderate public debt with a complex political system. The currency board has kept the convertible mark fixed to the euro, and

around 81% of banking capital is foreign-owned. The 4 October 2026 general election produced preliminary results giving the three-member Presidency to Denis Bećirović, Darijana Filipović and Željka Cvijanović, and government formation at state and entity level now determines the pace of EU reforms. The main issues for investors are slow decision-making, the risk of losing EU Growth Plan funds and inflation of 6.0% in September 2026; each is being addressed through the EU framework and new energy and infrastructure projects. The United States lifted its sanctions on Milorad Dodik and associates in October 2025, but investors should still screen Republika Srpska counterparts against current US, UK and EU sanctions lists and take legal advice where needed.

MARKET ACCESS

Bosnia and Herzegovina is an EU candidate with preferential, largely duty-free access to the EU market, which accounts for most of its trade and over 60% of its FDI stock. It is a member of the Central European Free Trade Agreement (CEFTA) and has free trade agreements with EFTA and Turkey, with preferential access to several other markets. The country borders Croatia, an EU and Schengen member, along a long frontier, and the Corridor Vc motorway is progressively linking the Sava valley, Sarajevo and the Adriatic port of Ploče. The Southern Gas Interconnection agreed with Croatia in April 2026 will connect Bosnia's gas system to the Krk LNG terminal, diversifying supply away from Russia.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of Bosnia and Herzegovina	Three-member collective head of state; the October 2026 election returned Bećirović, Filipović and Cvijanović (preliminary results)	Primary reference point for foreign policy and strategic state-level agreements
Foreign Investment Promotion Agency (FIPA)	State-level investment promotion agency offering free advice, site identification and implementation support	Standard first point of contact for market entry
Central Bank of Bosnia and Herzegovina	Operates the currency board pegging the convertible mark to the euro and publishes FDI and banking data	Relevant for currency, payments and financial-sector matters
Council of Ministers and Directorate for European Integration	State-level government and EU coordination body responsible for the reform agenda and Growth Plan steps	Key counterparts on EU-linked reforms and funding
Entity governments (Federation of BiH and Republika Srpska)	Hold most economic powers, including tax administration, energy and industry	Essential partners for permits, incentives and sector investment
Indirect Taxation Authority	State body administering VAT, customs and excise across the country	Relevant for import duties, customs exemptions and VAT
Delegation of the European Union to Bosnia and Herzegovina	Manages EU pre-accession and Growth Plan support and monitors reforms	Useful for EU-funded projects and regulatory alignment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Foreign Investors Council in Bosnia and Herzegovina, the American Chamber of Commerce and the Foreign Trade Chamber of Bosnia and Herzegovina are the main channels for dialogue with government, alongside the entity chambers of commerce and bilateral chambers from Germany, Austria and other partners. FIPA promotes the country at international events and maintains a database of investment locations, including free zones and industrial parks. The European Bank for Reconstruction and Development, the European Investment Bank, the World Bank and the Western Balkans Investment Framework finance energy, transport and private-sector projects, and the EU Growth Plan supports reform-linked investment. Embassies of EU partners, the UK and the United States provide commercial support and introductions.

INVESTOR PROFILE BEST SUITED

Bosnia and Herzegovina suits cost-conscious investors seeking a base close to EU markets with a euro-pegged currency: manufacturers in automotive components, metals, wood processing and agri-food serving German, Austrian and Croatian supply chains; renewable-energy and gas-infrastructure investors; ICT and software firms

drawing on a growing talent pool; and infrastructure contractors and financiers in motorway and energy projects. Investors should be comfortable navigating entity-level rules and should screen counterparts against sanctions lists.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage FIPA and the relevant entity agencies
Use FIPA's free services to compare locations, then confirm entity-level permits, incentives and tax rules in the Federation, Republika Srpska or Brčko District.

STEP 2: Shortlist sites along key corridors
Compare industrial zones and free zones near Corridor Vc, the Croatian border and the Sava valley for access to EU markets.

STEP 3: Map energy and infrastructure opportunities
Review renewable-energy tenders, the Southern Gas Interconnection and motorway projects, and identify DFI co-financing.

STEP 4: Track post-election reforms and EU funding
Monitor government formation, the 31 December 2026 Growth Plan deadline and progress towards the first intergovernmental conference.

STEP 5: Build compliance and legal safeguards
Screen counterparts against US, UK and EU sanctions lists, use experienced local counsel and include international arbitration clauses.